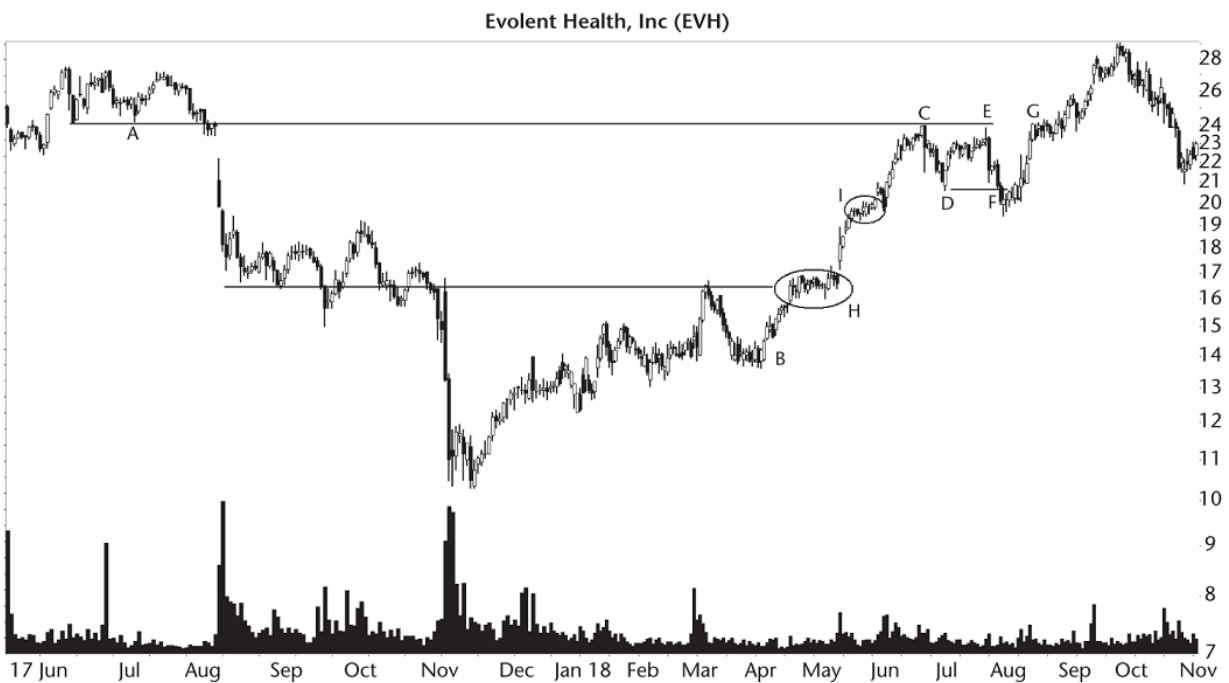


peak would suggest a weak situation, but maybe a higher peak means there's farther to drop.

Time to drop. I measured the median time to rise from the launch price to the first peak compared to the drop from the right peak to the ultimate low. The time is about two to one. So you can measure the time from the move up to the first peak, double it, and that will give you an estimate of how long you'll need to remain in the trade to reach the ultimate low. My guess is it won't be that easy, but at least you'll have an estimate.

Sample Trade

Justin is an experienced trader, and he's shorted enough stocks to become proficient at it. "I got interested right there." In [Figure 6.4](#), he pointed to the strong drop the day after peak E and made plans to trade the big M (the twin peaks at C and E).



[Figure 6.4](#) Justin shorted this big M and lost money on the trade.

Price started a concerted effort to climb when it broke out of a congestion region at B. Price paused at H and moved sideways for a time when it hit overhead resistance set up by the sideways move from August to November 2017 (shown by a horizontal line connecting circle H).